

January 16, 2024

Administrator Michael S. Regan
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BY REGULATIONS.GOV

Re: *Comments on Proposed Removal of Affirmative Defense Provisions From the National Emission Standards for Hazardous Air Pollutants for the Oil and Natural Gas Production Facility and Natural Gas Transmission and Storage Facility Source Categories, 88 FR 83,889 (Dec. 1, 2023) – EPA-HQ-OAR-2023-0406*

Dear Administrator Regan:

The undersigned groups support EPA’s recent proposal to remove the illegal affirmative defense against civil penalties in cases of malfunction from the rules governing emissions of hazardous air pollutants emitted by the Oil and Gas Production and Natural Gas Transmission and Storage source categories. *See* 88 FR 83,899 (Dec. 1, 2023). As EPA succinctly and correctly recognizes, the affirmative defense is illegal. *Id.* 83,891/2-3. EPA is thus legally obligated by the Clean Air Act, governing case law, and EPA’s own 2014 grant of a rulemaking petition submitted by Sierra Club to remove the affirmative defense from these regulations.¹ 42 U.S.C. §§ 7604(a), 7413(e)(1) (prohibiting administrative establishment of affirmative defense); *NRDC v. EPA*, 749 F.3d 1055, 1062-64 (D.C. Cir. 2014) (holding affirmative defense illegal);

¹ EPA’s proposed rule is also related to a 2012 petition for reconsideration submitted by several of the undersigned organizations, which included removal of the affirmative defense among other issues. *See* Letter from Peter Tsirigotis, Dir., Sector Policies & Programs Div., Ofc. of Air Quality Planning & Standards, EPA, to Emma Cheuse, Earthjustice, at 1-2 (Dec. 14, 2016) (stating that “EPA’s process for reconsideration of the 2012 NESHAP is still ongoing,” with review of three issues, including “[p]rovision of an affirmative defense to civil penalties for violations of emission standards that are caused by malfunctions”); *Am. Petroleum Inst. v. EPA*, Case No. 12-1405, Doc. No. 1655401 ¶ 5 (D.C. Cir. Jan. 11, 2017) (“In the [reconsideration] proposal, EPA also intends to address two recent decisions of this Court, which are relevant to some of the issues on which EPA intends to grant reconsideration.”) (citing *NRDC*). EPA’s completion of the reconsideration rulemaking regarding the affirmative defense is subject to court-ordered deadlines in a consent decree. *See* Consent Decree ¶¶ 2, 3, *Cal. Communities Against Toxics v. Regan*, No. 1:22-cv-1012, ECF 21 (D.D.C. April 17, 2023).

Letter from Janet G. McCabe, Acting Ass't Adm'r, EPA, to Seth L. Johnson, Earthjustice (Nov. 19, 2014) (attached) (granting Sierra Club petition that followed *NRDC*); *see also* Letter from Seth L. Johnson, Earthjustice, to Gina McCarthy, Adm'r, EPA (June 17, 2014) (attached) (petitioning EPA to remove affirmative defense from all EPA-promulgated rules containing it, including those for Oil and Natural Gas Production Facilities and Natural Gas Transmission and Storage Facilities); 79 FR 79,018 (Dec. 31, 2014) (removing affirmative defense from new source performance standards governing Crude Oil and Natural Gas Production, Transmission and Distribution source category).

EPA must expeditiously finalize its proposal. Because there is no doubt at all that EPA must remove the affirmative defense from the rules at issue, and that is the sole determinative issue here, final action can and must occur very shortly after the close of the comment period.

We also again call on EPA to move swiftly to remove the affirmative defense from all other rules that still contain it.² The affirmative defense sits separate and atop the substantive emission standards to which it applies. Thus, as this proposal confirms, removing it requires no intensive or complex analysis for any source category, just simple and straightforward application of one clear legal conclusion that applies identically to all source categories: the affirmative defense is illegal and accordingly must be removed.

Though the statements are not relevant to the outcome of this particular proposal, we disagree with EPA's statements in the proposal regarding the rulemaking's purported lack of air quality impacts, environmental benefits, and environmental justice implications, *see* 88 FR 83,891/3-92/1, 3. EPA's bald claims that the affirmative defense "does not have a material impact on...the ability of Federal or State agencies to enforce standards" and that there will be no impacts on human health, the environment, and air quality as a result of removing it, *id.*, conflict with, or at least are in serious tension with, prior EPA statements that removing loopholes that include affirmative defenses "is...expected to contribute to reduced excess emissions during [startup, shutdown, and malfunction] periods and improve human and environmental health for U.S. citizens, including people of color, low-income populations, and/or indigenous peoples." 88 FR 11,842, 11,863/3 (Feb. 24, 2023).³

² See attached 7,000 comments urging EPA to take swift action to eliminate startup, shutdown, and malfunction loopholes.

³ Also not relevant to the outcome of this particular proposal, we note that, in a separate rulemaking, EPA indicated that all major sources in these source categories could be eligible to reclassify as area sources simply by applying minor controls. EPA-HQ-OAR-2019-0282-0144 at 26 app.3. Such an outcome would be unlawful and arbitrary for various reasons given in that separate rulemaking.

Those prior EPA statements are correct. Removing loopholes from air quality regulations takes away exemptions and defenses from liability that polluters routinely seek to invoke when they violate emission standards and that removal thereby makes standards easier to enforce.⁴ As a result of the removal, polluters have greater incentives to minimize excess emissions, and pollution levels should drop, benefiting air quality, the environment, and human health. In several well-populated areas of the country, facilities in the affected source categories are known to be located in areas that have a high prevalence of historically marginalized populations, such as people of color, low-income communities and/or Indigenous peoples.⁵ Reducing excess emissions—a predictable result of removal of the illegal affirmative defense—will thus benefit these populations.

For the foregoing reasons, EPA must take swift final action on the proposed rule to remove the unlawful affirmative defense, as EPA is legally obligated.

⁴ In Texas, one of the only states that requires collection and publication of data on startup, shutdown, and malfunction emissions, “on an average day...there is at least one event that releases over 10 tons of pollution; in an average month, there are three events that each release over 100 tons; and in the average year, there are at least three events that each release over 1,000 tons. In addition, excess emissions tend to occur near census blocks with higher proportions of Black residents.” Alex J. Hollingsworth et al., *The Health Consequences of Excess Emissions: Evidence from Texas*. 108 J. Env. Econ. Mgmt. 102449 (2021) (internal citations omitted), available at <https://hollina.github.io/excess-emissions-reep.pdf>.

In 2018, Texas sources claimed the affirmative defense for at least 4,752 out of 4,912 emissions events, 97% of the time. Environmental Integrity Project & Environment Texas, *Breakdowns in Enforcement* at 4 (July 7, 2017), available at <https://environmentalintegrity.org/wp-content/uploads/2017/02/Breakdowns-in-Enforcement-Report.pdf>; Environment Texas, *Major Malfunction: Air Pollution from Industrial Malfunctions and Maintenance in Texas in 2017* at 19 (Jan. 2019), available at https://publicinterestnetwork.org/wp-content/uploads/2019/01/TX_MajorMal_scrn.pdf.

⁵ See, e.g., David J.X. Gonzalez et al., *Historic Redlining and the Siting of Oil and Gas Wells in the United States*, 33 J. of Exposure Sci. & Env'tl. Epidemiology 76, 76, 81 (2023) (noting that “[i]n several studies, risk was heightened among racially and socioeconomically marginalized people, and in several U.S. regions these same groups have disproportionately high exposure to wells and natural gas flaring” and that neighborhoods that were historically redlined tend to have more oil and gas wells “than comparable neighborhoods with a better grade [for redlining purposes]”); Jeremy Proville et al., *The Demographic Characteristics of Populations Living Near Oil and Gas Wells in the USA*, 44 Population & Env't 1, 1 (2022). As noted in Proville, the demographics in different areas near the examined facilities can vary significantly. More demographic data is available at https://public.tableau.com/app/profile/kate.roberts6232/viz/DemographicCharacteristicsofPopulationsLivingNearOilandGasWellsintheUnitedStates/TotalPopulationDash_1?publish=yes.

Sincerely,

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